

TASK 1 – BASIC INFRASTRUCTURE & AZURE GOVERNANCE

Terraform-Managed Azure Subscription Baseline

1. Objective

To establish the initial Azure infrastructure using Terraform and introduce a basic governance control through a custom Azure Policy. This task covers Week 1 and Week 2.

2. Week 1 – Basic Terraform Infrastructure

Terraform was configured with the AzureRM provider and used to provision the foundational Azure resources. The main resources created were the Resource Group **rg-terraform-baseline** and Storage Account **stterraformbaseline01**. Variables were used for reusable configuration such as the resource group name and location, while outputs exposed important deployment information.

The infrastructure was validated using Terraform formatting, validation, planning and apply operations. Resource tags such as Environment, Project and ManagedBy were used as part of the baseline configuration.

3. Week 2 – Azure Policy & Governance

A custom Azure Policy named **Require Environment Tag** was created and assigned at subscription scope. The policy checks whether Azure resources contain the required **Environment** tag. Its effect is **audit**, allowing non-compliant resources to be identified without blocking deployment.

4. Implementation Flow

Step	Implementation
1	Configure Terraform and AzureRM provider
2	Create Resource Group
3	Create Storage Account
4	Define variables and outputs
5	Run Terraform validation and deployment
6	Create custom Environment Tag policy
7	Assign policy at subscription scope
8	Verify resources and governance configuration

5. Expected Result

The task establishes a Terraform-managed Azure foundation and a subscription-level governance rule. This becomes the starting baseline for the later networking, compute, security, monitoring, state-management and modularization work.

6. Evidence

The accompanying README contains the recommended screenshot checklist. Screenshots should show actual Terraform commands/outputs and the corresponding Azure Portal resources or policy configuration. Do not include credentials or private keys.